EUROZONE CRISIS AND BREXIT

The Global recession of 2007-2008 followed by world-wide recession from 2008-2012 and bubble burst had already send nerve shocks around the world. The Eurozone was not immune from it too. Coupled with this were the fiscal policies of some of the peripheral Eurozone countries. The net result was that the Eurozone was caught in sovereign-debt crisis. To make matters worse in 2009 Greece's new Government unveiled the fact that the previous government had grossly under–reported its budget deficit which was a sheer violation of EU policy and raised fears of a Euro collapse via political and financial contagion (financial pollution or corruption). Soon it came to be known that the financial positions of several Eurozone countries have made them unsustainable.

The problem spiraled in 2010 with rising spreads on sovereign bond yields among the peripheral Eurozone countries like Greece, Ireland, Portugal and Spain and also Germany. Greece was alone burdened with debt amounting to 113% of GDP-nearly double the Eurozone limit of 60%. The Greece yield diverged in 2010 and Greece needed eurozone assistance. It received two bailout packages from the EU over the following five years during which the country adopted EU-mandated austerity measures to cut costs while Greece experienced a further economic recession but faced massive social unrest and protest. By mid-2015 the sovereign debt crisis became acute. In July 2015, the Greek people however, voted against further austerity measures. There was also a possibility of Greece moving towards an exit from European Monetary Union or 'Grexit'. Greece in total received three bailout packages but it is still grappling with an acute crisis, and Eurozone leaders are searching for solutions. Greece's matters have become worse as there is a heavy influx of refugees from Iraq, Syria and other war-torn countries. The Greece debt crisis has put the future of European political and economic union at stake. Britain went on a referendum on the issue of 'Brexit' from the EU in June 2016. Approximately 51.9% vote for Brexit and approximately 48.1% voted against Brexit. This definitely has created uneasiness in EU, and developments have to be watched seriously in the Eurozone regarding the future of EU. Even the British politics is